

Positive indigenisation lists and emergency procurement powers have made indigenous systems the first choice for the forces

PHOTO BY **HARDIK CHHABRA**

DEFENCE OVERVIEW

The defence budget was ₹7.85 lakh crore in FY27

Defence capex was ₹2.19 lakh crore in FY27

The indigenous defence production stood at ₹1.78 lakh crore in FY26

The sector exported goods worth ₹38,424 crore in FY26

The sector saw FDI of ₹6,670 crore in FY26

SOURCE DEFENCE MINISTRY

Diniz, Partner, Strategy, Risk & Transactions, Deloitte India, says the next phase of investment is expected to prioritise sustainable value creation, long-term capability development and globally competitive defence technology. Operation Sindoor highlighted the growing importance of dual-use technologies such as unmanned aerial vehicles (UAVs), AI-enabled command and control systems, satellites and AI-powered radars.

"With the sector transitioning into a more mature, technology-driven ecosystem, the future deal landscape in India's defence industry is expected to see increased transaction flow, particularly in dual-use technology segments and export-ready businesses with scalable models," says Diniz.

Schemes such as Innovations for Defence Excellence (iDEX) and ADITI (Acing Development of Innovative Technologies with iDEX) are actively engaging industries, start-ups, individual innovators, research institutions and academia to develop defence technologies. Both schemes have been introduced in the past five years.

By March 2026, iDEX had engaged 676 start-ups, MSMEs, and innovators; 551 design and development contracts had been signed. To strengthen this ecosystem, the DRDO has opened its advanced testing infrastructure to private industry through the Defence Testing Portal.

DEFENCE PUSH

India has been strengthening military preparedness while expanding domestic manufacturing and research capabilities. Overall, defence production has grown at 13% a year, while exports have been rising 40% a year for the past 10 years. The defence budget has increased from ₹2.53 lakh crore in FY14 to ₹7.85 lakh crore in FY27. More importantly for listed manufacturers, capital acquisition spending has zoomed and, at ₹1.85 lakh crore, is now 24% higher than last year's budget estimate.